Employment Agreement - Natural Gas Services Group, Inc.

Test copy prepared from a publicly filed SEC exhibit. Original source: https://www.sec.gov/Archives/edgar/data/1084991/000108499124000107/ex101employmentagreement.htm

EXHIBIT 10.1
EMPLOYMENT AGREEMENT

This Employment Agreement (the "Agreement") is made and entered into as of November 1, 2024 (the "Agreement Date"), by and between Ian M. Eckert (the "Executive") and Natural Gas Services Group, Inc., a Colorado corporation (the "Company").

RECITALS
WHEREAS, the Company desires to employ the Executive on the terms and conditions set forth herein; and WHEREAS, the Executive desires to be employed by the Company on such terms and conditions.

NOW, THEREFORE, in consideration of the mutual covenants, promises, and obligations set forth herein, the parties agree as follows:

1. Term.
1.1 The Executive's initial term of employment shall commence on January 6, 2025 (the "Effective Date") and shall be from the Effective Date through the one (1) year anniversary of the Effective Date (the "Initial Term").
1.2 Thereafter, the Agreement shall be deemed to be automatically extended, upon the same terms and conditions, for successive periods of one (1) year, unless either party provides written notice of its intention not to extend the term at least 60 days prior to the end of the Initial Term or one-year extension thereof.

2. Position and Duties.
2.1 Position. During the Employment Term, the Executive shall serve as the Chief Financial Officer of the Company, reporting to the Chief Executive Officer or such other person as the CEO or Board may determine.
2.2 Duties. During the Employment Term, the Executive shall devote substantially all of the Executive's business time and attention to the performance of the Executive's duties hereunder.

3. Place of Performance.
The principal place of Executive's employment shall be the Company's principal executive office, currently located in Midland, Texas, provided that the Executive may be required to travel on Company business.

4. Compensation.
4.1 Base Salary. The Company shall pay the Executive an annual rate of base salary of $415,000 in periodic installments. The Company shall pay Executive a one-time cash signing bonus of $50,000, subject to repayment in certain termination circumstances.
4.2 Annual Bonus. The Executive shall be eligible to receive an annual bonus in accordance with the Company's Annual Incentive Bonus Plan. The decision to provide any bonus and the amount and terms of any bonus shall be in the sole and absolute discretion of the Board or Compensation Committee.
4.3 Equity Awards. During the Employment Term, the Executive shall be eligible to participate in the Company's equity incentive plan, subject to its terms and applicable award agreements.
4.4 Fringe Benefits and Perquisites. The Executive shall be entitled to fringe benefits and perquisites consistent with similarly situated executives.
4.5 Employee Benefits. The Executive shall be entitled to participate in employee benefit plans maintained by the Company.
4.6 Vacation; Paid Time Off. The Executive shall be entitled to four weeks of paid vacation days per calendar year.
4.7 Business Expenses. The Executive shall be entitled to reimbursement for reasonable and necessary business expenses.
4.8 Indemnification. The Company shall indemnify and hold the Executive harmless to the fullest extent applicable to other officers or directors, subject to applicable law and the Company's Bylaws.

5. Termination of Employment.
The Employment Term and the Executive's employment hereunder may be terminated by either the Company or the

Executive at any time and for any reason or for no particular reason in accordance with this Section.

5.1 By Company For Cause or By Executive Without Good Reason.

The Executive's employment may be terminated by the Company for Cause or by the Executive without Good Reason. The Executive shall be entitled to accrued but unpaid salary, accrued vacation, earned bonus amounts subject to the agreement, unreimbursed expenses and applicable benefits.

5.2 Expiration of Term, Termination by Company Without Cause or Termination by Executive for Good Reason.

The Executive may be terminated for Good Reason or by the Company without Cause or upon the Company's failure to renew. Subject to applicable conditions and a release, the Executive may receive severance payments based on Base Salary and may receive certain health continuation reimbursement.

5.3 Death or Disability.

The Executive's employment shall terminate automatically upon death, and the Company may terminate employment on account of Disability, subject to the agreement's provisions.

5.4 Notice of Termination.

Any termination shall be communicated by written notice of termination to the other party in accordance with the agreement.

5.5 Resignation of All Other Positions.

Upon termination, the Executive shall be deemed to have resigned from positions as an officer or board member.

6. Confidential Information and Restrictive Covenants.

As a condition of employment, the Executive shall enter into and abide by the Company's Employee Non-Compete Agreement and Proprietary Rights Agreement.

7. Arbitration / Prevailing Party Recovery of Attorney's Fees.

Any dispute arising out of or related to the Executive's employment or termination shall be submitted to binding arbitration administered by the American Arbitration Association. The prevailing party shall recover attorney's fees subject to the agreement and applicable law.

8. Governing Law, Jurisdiction, and Venue.

This Agreement shall be construed in accordance with the laws of Texas. Actions to enforce the Agreement shall be brought only in a state or federal court located in the state and county of the Company's principal executive office.

9. Stock Ownership Requirements.

During the Employment Term, the Executive shall be expected to comply with the Company's stock ownership guidelines.

10. Entire Agreement.

Unless specifically provided herein, this Agreement and referenced agreements contain the understandings between the parties concerning the subject matter and supersede prior and contemporaneous understandings.

11. Modification and Waiver.

No provision may be amended or modified unless agreed in writing and signed by the required parties.

12. Severability.

Invalidity or unenforceability of a provision shall not affect the remaining provisions.

14. Counterparts.

This Agreement may be executed in separate counterparts.